

and hospitals, recreational and cultural activities,
energy, natural resources and postal service are
allocated both to the labor and non-labor segments on
the grounds that they are considered "social consumption
in general, and the workers' share of this consumption
was estimated by means of the share of labor income in"
(Shaikh, 1980, p. 37) adjusted personal income.

Regarding, income support, social security and
welfare expenditures, various subfunctions are treated
separately, For example, welfare and social services
(previously called "public assistance") are excluded
from income of employed workers or consumption because
they are

"neither an addition to the income of employed
workers and their families, nor a deferred
portion of a worker's own past labor income
which is now drawn on to mediate a temporary
period of unemployment. (Instead these expend-
itures represent) a payment to those individuals
the payments themselves do not depend on any
past contributions of the recipients" (Shaikh,
1980, pp. 36-37)

Similarly, military retirement and "military
disability" are treated as yet another form of current
cost of the damage and destruction of wars. They can
also be considered as a postponed portion of previous
national defense expenditures. On those grounds, such
items are also excluded from labor income or
consumption. The rest of the income support, social
security, and welfare: category mainly consists of
"unemployment insurance" and "social security" retirement

payments. These items are treated completely as labor income since "they do represent a reflux of forced savings out of past labor income" (Shaikh, 1980, p. 37) in order to make both retirement and unemployment financially feasible for the capitalist state.

The category of housing and community service is entirely allocated to labor since the workers are the main beneficiaries of these expenditures. However, the existence of expenses related to the "Environmental Protection Agency" and to "water, sewerage and sanitation" at the Federal and State and Local levels respectively will definitely overestimate the labor share in the category of housing and community services and hence underestimate the net tax paid by labor.

The category of transportation is allocated to the labor and non-labor segments by using both passenger cars' gas consumption" and the "share of labor income in adjusted personal income" as proxies.²⁹

Both, the category of economic development, regulation and services and labor training and services are excluded from labor income and consumption: the first category is comprised of expenditures directed mainly toward small businesses or other administrative activities and can hardly be considered a part of labor income of consumption; the second category, on the other hand can be perceived as various activities of the state, which are entirely received by workers, and hence

is treated as part of labor consumption or income.

The last category, commercial activities, which has been negative throughout 1952-1980, although listed as one of the government expenditure items, is not treated as such. Rather, one of the components of this category, "government-administered lotteries and parimutuals" is considered as a kind of tax attributable totally to workers. The rest of the "commercial activities", "publicly-owned liquor store systems" and "others", which include parking areas and miscellaneous commercial activities, are regular government enterprises and they, after netted, are treated as a part of surplus-value like all other government enterprises.

Table IX presents the total government expenditures and its labor portion for the period of 1952-1980. The detailed step-by-step description of the estimation procedure and labor parts in individual expenditure categories are presented in the Appendix II.

5. Net Tax

Since the methods of allocating both taxes and government expenditures to labor and non-labor segment were discussed, the concept of net tax can be empirically constructed on that basis. Net tax was defined as "taxes paid minus benefits and income received" and is applicable both to labor and non-labor.

Table X is a presentation of the net tax category for the period of 1952-1980 in the U.S.

Net labor taxes, all through the years 1952-1980, were positive, except for 1975. In other words, employed workers paid more in taxes than they received in benefits or income from the State. A positive net labor tax points to a net income transfer from labor to non-labor. Remember that "non-labor", in this context, consist of not only the capitalist class but also the State itself. Therefore, the net income transfer from labor to non-labor does not imply taht the net-tax paid by the capitalist class has always been negative. What is crucial in this respect is the absorbed portion of the net-tax paid by labor by the activities of the State.

Another way of looking at this empirical evidence concerning the performance or the very existence of a welfare state is to construct a ratio of benefits and income received to taxes paid (by employed labor) which I call the transfer-ratio. The progression of that ratio is presented in the table and the graph on the pages114 and115. The same phenomenon as manifested by the movement of net labor taxes now becomes more apparent in the value of the transfer-ratio throughout the period of 1952-1980, - always less than one, except 1975.

Table IX Total and the Portion of
Benefits and Income Received by Labor*

Year	Total	Labor Portion
1952	94.06	18.56
1953	101.73	20.38
1954	97.20	23.35
1955	98.11	25.26
1956	104.63	28.61
1957	115.43	32.80
1958	127.77	38.79
1959	131.24	41.28
1960	136.65	44.82
1961	149.36	51.04
1962	160.73	54.46
1963	168.00	58.04
1964	176.48	62.69
1965	188.04	69.05
1966	213.77	79.08
1967	242.63	91.36
1968	269.35	102.82
1969	286.93	113.46
1970	313.59	130.75
1971	342.28	148.70
1972	373.01	163.62
1973	405.75	186.01
1974	460.45	214.01
1975	534.79	256.90
1976	575.55	275.97
1977	624.03	300.45
1978	682.05	330.31
1979	751.91	363.49
1980	872.53	421.04

* In billions of dollars

Table X Net Tax Paid by Labor*

Year	(1) Taxes Paid by Labor	(2) Benefits and Income Received by Labor	(3) Net Tax (1)-(2)
1952	34.58	18.56	16.02
1953	36.31	20.38	15.93
1954	34.89	23.35	11.54
1955	38.56	25.26	13.30
1956	44.14	28.61	15.53
1957	47.36	32.80	14.56
1958	47.49	38.79	8.70
1959	53.68	41.28	12.40
1960	59.98	44.82	15.16
1961	62.27	51.04	11.23
1962	67.43	54.46	12.97
1963	74.28	58.04	16.24
1964	74.52	62.69	11.83
1965	80.73	69.05	11.68
1966	97.65	79.08	18.57
1967	108.51	91.36	17.15
1968	125.12	102.82	22.30
1969	147.74	113.46	34.28
1970	151.34	130.75	20.59
1971	157.06	148.70	8.36
1972	184.52	163.62	20.90
1973	210.90	186.01	24.89
1974	236.29	214.01	22.28
1975	241.20	256.90	-15.70
1976	276.97	275.97	1.00
1977	315.12	300.45	14.67
1978	361.31	330.31	31.00
1979	413.55	363.49	50.06
1980	455.99	421.04	34.95

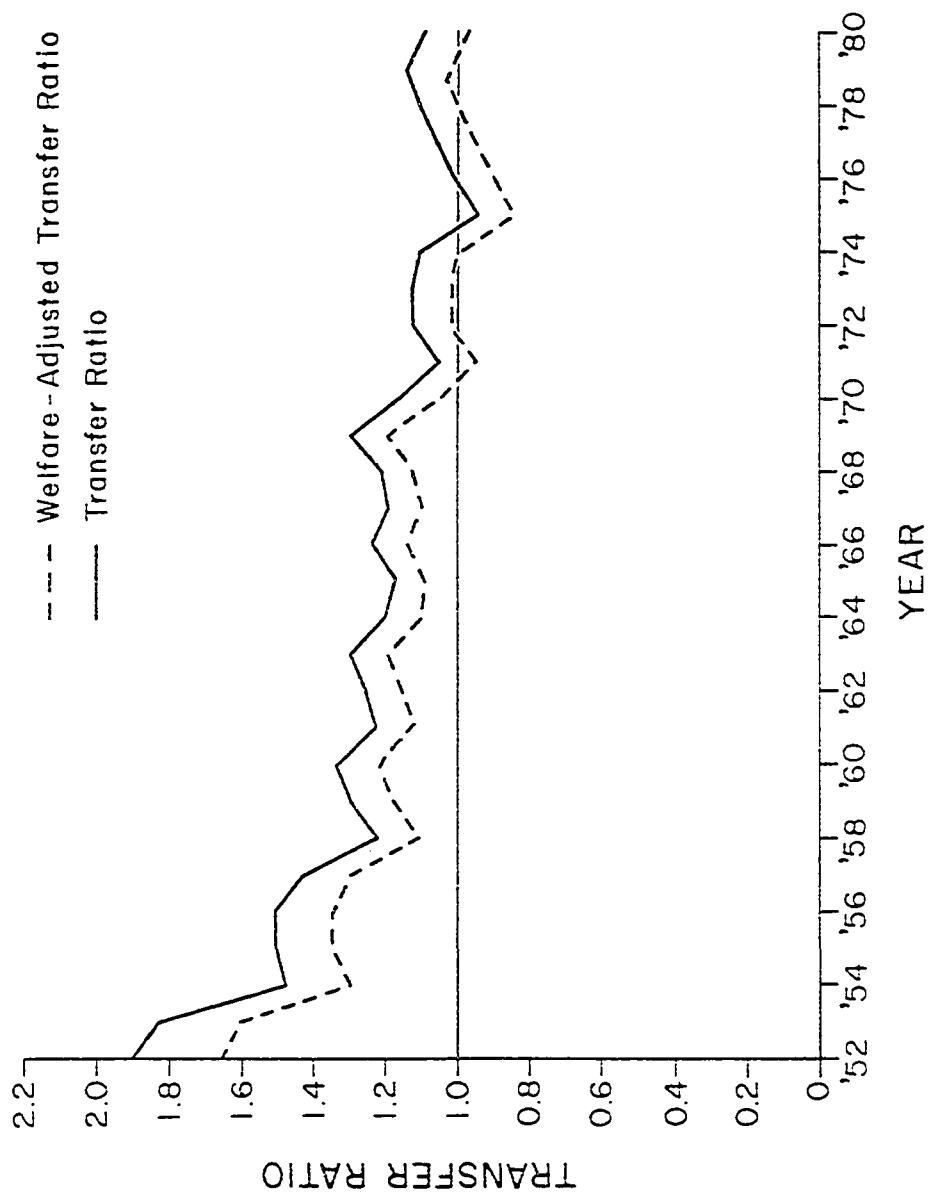
* In billions of dollars

Table XI Transfer Ratio and Welfare-Adjusted Transfer Ratio*

Year	(1) Benefits and Income Received by Labor	(2) Taxes Paid by Labor	(3) Transfer Ratio (1)/(2)	(4) Welfare and Social Services	(5) Welfare-adjusted Benefits & Income Received by Working Class as a Whole (1)+(4)	(6) Adjusted Transfer Ratio (5)/(2)
1952	18.56	34.58	0.54	2.78	21.34	0.62
1953	20.38	36.31	0.56	2.91	23.29	0.64
1954	23.35	34.89	0.67	3.09	26.44	0.76
1955	25.26	38.56	0.66	3.07	28.33	0.73
1956	28.61	44.14	0.65	3.51	32.12	0.73
1957	32.80	47.36	0.69	3.75	36.55	0.77
1958	38.79	47.49	0.82	4.01	42.80	0.90
1959	41.28	53.68	0.77	4.15	45.43	0.85
1960	44.82	59.98	0.75	4.16	48.98	0.82
1961	51.04	62.27	0.82	4.50	55.54	0.89
1962	54.46	67.43	0.81	4.86	59.32	0.88
1963	58.04	74.28	0.78	5.06	63.10	0.85
1964	62.69	74.52	0.84	5.29	67.98	0.91
1965	69.05	80.73	0.86	5.96	75.01	0.93
1966	79.08	97.65	0.81	6.70	85.78	0.88
1967	91.36	108.51	0.84	7.76	99.12	0.91
1968	102.82	125.12	0.82	8.55	111.37	0.89
1969	113.46	147.74	0.77	10.12	123.58	0.84
1970	130.75	151.34	0.86	13.28	144.03	0.95
1971	148.70	157.06	0.95	16.17	164.87	1.05
1972	163.62	184.52	0.89	17.97	181.59	0.98
1973	186.01	210.90	0.88	19.44	205.45	0.97
1974	214.01	236.29	0.91	24.88	238.89	1.01
1975	256.90	241.20	1.07	29.28	286.18	1.19
1976	275.97	276.97	1.00	31.89	307.86	1.11
1977	300.45	315.12	0.95	33.63	334.08	1.06
1978	330.31	361.31	0.91	35.56	365.87	1.01
1979	363.49	413.55	0.88	39.57	403.06	0.97
1980	421.04	455.99	0.92	46.67	467.71	1.03

* (1), (2), and (4) are in billions of dollars.

Figure 2.
Unadjusted and Welfare-Adjusted Transfer Ratios, 1952-'80



In order to be able to compare benefits and income received by employed labor with benefits and income received by employed, unemployed and other members of the labor force, another welfare adjusted-transfer-ratio is constructed. In estimating this particular welfare-adjusted-transfer-ratio the following procedure is adopted. First, "welfare and social services" (Table XI, col. 4) are added to the "benefits and income received by employed labor" (Table XI, col. 1) yielding "welfare-adjusted-benefits and income" (Table XI, col. 5). Second, "welfare-adjusted-benefits and income" are divided by "taxes paid by employed labor" (Table XI, col. 2) to obtain "welfare-adjusted-transfer-ratio" (Table XI, col. 6). As can be seen from Table XI and Figure II, although the latter ratio itself is naturally of the "success" of the U.S. welfare state vis a vis the working class has not changed considerably. Excluding welfare and social services and looking only from the point of view of employed labor, workers have received from the State, only once (in 1975) more than what they have already paid to it throughout the period 1952-1980. On the other hand, in the context of welfare-adjusted-transfer-ratio, which includes welfare and social services, and takes the entire working class into consideration, workers received a net transfer from the State in 1971, 1974, 1975, 1976, 1977, 1978, and 1980 during the same period under study. Based on this

empirical evidence, expecially considering the negligible size of net-transfer to labor, it would seem hard to justify the existence of welfare state in the U.S. At best, it can be speculated that the society has been slowly evolving in that direction.

IV.C. The State and the Rate of Surplus-Value

Net labor-tax, as a concept, presents a quantified measure of the role of the State vis-a-vis labor as a class, at the level of redistribution of value. That is, mainly determined by the surplus-value producing capacity of the society and by the effectiveness of economic and political struggle of the working class as a whole.

On the other hand, to see the indirect impact of the State at the level of production (through its redistributive activities) in the necessary and surplus portions of the working day, there is a need to approximate the portion of net labor-tax paid by productive workers. In other words, as long as a portion of net labor tax comes out of the wage bill of productive workers, calculated before State redistributive activities, a new adjusted, effective and reduced variable capital will result: hence increased surplus-value and increased after-state, adjusted rate of surplus value. This has been the case in the U.S. since 1952: redistributive activities of the